

SENATE BILL 909

By Haile

AN ACT to amend Tennessee Code Annotated, Title 47
and Title 66, relative to wholesaling real property.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 66, Chapter 4, is amended by adding the following language as a new part:

66-4-401. Part definitions.

As used in this part, "equitable interest" means the right of a buyer to benefit or profit from real property after the buyer has entered into a contract for the purchase or sale of real property with a seller, but before the legal title has been transferred from the seller to the buyer.

66-4-402. Wholesaling real property.

A buyer who enters into a contract with a seller to purchase real property engages in the act of wholesaling the real property when the buyer, after entering into the contract with the seller, assigns the buyer's equitable interest in the real property to a subsequent purchaser for a higher price than the buyer paid for the real property.

**66-4-403. Requirements for a buyer engaging in wholesaling real property –
Action for violation of this part – Scope of this part.**

(a)

(1) A buyer who has entered into a contract with a seller to purchase real property may engage in wholesaling the real property if the buyer discloses the following information in writing to:

(A) A potential subsequent purchaser or assignee, the nature of the buyer's equitable interest in the real property; and

(B) The seller of the property, the buyer's intent to market its equitable interest prior to execution of the contract, and the effective date of any assignment of the buyer's interest to a subsequent purchaser of the real property at least three (3) business days prior to the effective date of any assignment, if the contract allows for such assignment.

(2) Disclosures required under subdivision (a)(1) must be in bold, large font print, and included in the written agreement.

(b) An action for violation of this part must be commenced within two (2) years after the execution of a contract for purchase and sale of real property.

(c) This part only applies to transactions involving real property.

SECTION 2. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 3. This act takes effect upon becoming a law, the public welfare requiring it.